

14 Choosing an investment strategy

15 primary questions | Oldest to newest

2026 objectives: 4.4.1

12 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

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CP1-P1 September 2019 Q7	17 marks
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CA1-P1 | April 2005 | Q3

[Current topic](#) | [10 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 3** Outline the points a charity should take into account when reviewing its investment strategy. [10]

CA1-P1 | September 2005 | Q6

Current topic | 16 marks total | Original PDF p2

Related: Ch 12, Ch 13.

- 6** A charitable trust has a portfolio of assets, mainly invested in conventional government bonds and equities. The only liability of the trust is to pay an annual prize for the best new published book. The prize money has traditionally increased each year in line with inflation.

- (i) Describe two methods of valuing the trust's assets and the implications of each for the valuation of the liabilities. [6]

The chairman of the trust has expressed an interest in moving assets from conventional bonds into index-linked bonds.

- (ii) State the formula for deriving the expected return on conventional bonds from the return on index-linked bonds. Define any symbols used. [2]

- (iii) Discuss the circumstances in which it would be appropriate for the trust to choose index-linked bonds over conventional bonds. [8]

[Total 16]

CA1-P1 | April 2006 | Q8

[Current topic](#) | [20 marks total](#) | [Original PDF p3](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 8**
- (i) Outline the main factors to consider in developing a long term investment strategy. [5]
 - (ii) Comment on the specific issues likely to affect the investment strategy for the following investors:
 - (a) An individual who has recently received an inheritance of ten times his annual salary.
 - (b) A contributor to a personal pension policy.
 - (c) A life insurance company closed to new business, which has never written with profits business.
 - (d) A general insurance company.
 - (e) A charity.

[15]
[Total 20]

CA1-P1 | April 2007 | Q2

Current topic | 10 marks total | Original PDF p2

Related: Ch 8.

- 2**
- (i) Explain the following terms in the context of individual assets:
- (a) marketability
 - (b) liquidity [2]
- (ii) Describe the liquidity and marketability features of the assets that the following would normally expect to hold:
- (a) A fund that takes large stakes in small unquoted companies with the aim of achieving high future growth.
 - (b) A fund that guarantees to return the capital invested plus interest after 5 years. The interest rate is fixed at the outset.
 - (c) A fund that aims to make profits by trading in bonds.
 - (d) A motor insurer. [8]
- [Total 10]

CA1-P1 | September 2007 | Q1

Current topic | 7 marks total | Original PDF p2

Related: Ch 3.

- 1**
- (i) State the principles of investment. [2]
 - (ii) Outline how the regulatory framework may limit investment freedom. [5]
- [Total 7]

CA1-P1 | April 2008 | Q4

Current topic | 22 marks total | Original PDF p3

Related: Ch 4.

- 4**
- (i) Outline the main factors to be considered by an individual in developing a personal investment strategy. [10]
 - (ii) State the additional factors a financial institution will need to consider when developing an investment strategy for the funds it offers to individual customers. [3]

Three members of a family have each inherited a sum of money.

- A single 23 year old in full time employment (but not in a pension scheme) living in rented accommodation. His inheritance is five times his annual income.
- A married 50 year old in full time employment (in a pension scheme), with two children in full time education, living in his own home, which is mortgaged. His inheritance is twice his annual income.
- A widowed 75 year old living in her own home. Her inheritance is ten times her annual income.

- (iii) Outline how each family member could use their inheritance. [9]
- [Total 22]

CA1-P1 | April 2010 | Q4[Current topic](#) | 17 marks total | [Original PDF p2](#)Examiner report and original paper: use the links for this question in [index.html](#).

- 4** An individual in a particular country is looking to set up a self-invested individual pension arrangement (IPA).

The regulations in the country concerned allow the individual to select the assets to be held within the IPA. There are no restrictions on the assets that the investor could include within the IPA. However, the assets cannot be transferred out of the IPA until the minimum retirement age of 60 is reached.

- (i) List the potential asset classes that the individual could invest in. [5]
- (ii) State the criteria that would be used to determine whether a particular asset class would be appropriate for the investor. [2]
- (iii) Discuss the suitability of each asset class for a 55 year old individual considering investing in an IPA. [10]

[Total 17]

CA1-P1 | September 2010 | Q5

Current topic | 15 marks total | Original PDF p3

Related: Ch 9.

- 5** An investment company manages a property unit trust fund which has a market value of €800 million. When investors sell units, payment to the investor is normally made within four days. However, in extreme circumstances (as defined in the governing documentation), the investment company can defer such payments by up to six months.

- (i) Justify why it might be necessary to defer payments in this way. [2]
- (ii) Discuss the following aspects of the fund's investment strategy:
 - (a) The nature and range of the property assets it should hold.
 - (b) The proportion of the fund that should be held in liquid assets. [8]

A change in the regulations governing unit trusts has been proposed. The new regulations will specify that payments to selling investors must be made within a prescribed normal settlement period (as defined in the regulations).

- (iii) Discuss the actions that the fund manager could take and hence the impact that this new regulation could have on the investment performance of this fund. [5]
- [Total 15]

CA1-P1 | September 2013 | Q5

Current topic | 19 marks total | Original PDF p2

Related: Ch 10, Ch 13.

- 5** (i) State two expressions for the expected total return (to a domestic investor) on an overseas asset. [3]

A wealthy individual is considering investing in one of the following assets with the objective of maximising return:

- a fixed interest government bond with a gross annual redemption yield of 2%
- a property currently occupied by a local business with a current annual rental yield of 7%
- ordinary shares in a global company with a current annual dividend yield of 4%

- (ii) Discuss the relative merits of each of the assets above, considering the individual's objective. [9]

A friend of the individual has suggested swapping cash investment in the domestic currency for cash in a foreign currency.

CA1-P1 | September 2013 | Q5 - continued

Current topic | 19 marks total | Original PDF p3

Related: Ch 10, Ch 13.

- (iii) Comment on the merits of this idea. [2]

The individual has found a website that allows investors to lend money to companies seeking funding over a one-year, three-year or five-year time horizon. Each company decides what amount of money it requires; and then each investor can decide what level of interest to charge to that company; the company will choose to borrow from the investors who charge the lowest interest.

The investor has approached a financial advisor to help him decide a suitable interest rate to charge. He has asked the advisor to provide him with a suitable list of questions to ask each company before choosing a suitable rate.

- (iv) Set out the key questions the advisor should include in the list. [5]
[Total 19]

CA1-P1 | September 2013 | Q6

Current topic | 19 marks total | Original PDF p3

Related: Ch 22, Ch 15.

- 6** A manufacturing company currently pays its employees a fixed salary each month with no additional benefits. It has decided to introduce a benefit scheme to be available to all employees, with the following features:
- Employees will be able to contribute up to 10% of their annual income into a personal account each year and the company will also pay 10%.
 - The account will increase in line with inflation each year.
 - Monies can be withdrawn from this account in respect of a limited number of events set out in a predefined list.
 - The company guarantees that the scheme will have enough cash to pay the benefits.
- (i) Suggest possible events that could be included in the predefined list of withdrawal events. [3]
- (ii) Explain why the company has decided to link the annual increase to inflation. [3]
- The directors of the company have decided to invest the assets of the scheme in index-linked securities.
- (iii) Discuss the advantages and disadvantages of this investment policy. [2]
- An investment manager has suggested that the scheme could be invested in a much wider range of investments in order to improve investment performance.
- (iv) Discuss the suitability of other investment classes for the scheme's assets. [8]
- (v) Comment on the investment manager's suggestion. [3]
- [Total 19]

CA1-P1 | April 2015 | Q3

Current topic | 12 marks total | Original PDF p2

Related: Ch 10, Ch 15.

- 3** A large closed defined benefit pension scheme, with assets of €400 million, in a developed country is in deficit and is currently reviewing its investment strategy. The scheme's liabilities are roughly split half for pensions in payment and half for non-retired members averaging ten years to retirement age. Pensions in payment are indexed in line with price inflation.

Discuss the characteristics and suitability of including each of the following assets in the investments of the scheme. All would involve a one-off investment of €20 million.

- (i) A unit trust fund that predominately invests in the emerging market economies.
- (ii) A portfolio of rental flats in the country's capital city.
- (iii) A share of income from electricity generated by solar panels that have been installed on residential houses near the country's capital city.
- (iv) A 25% stake in a company that trades in antique stamps.

[12]

CA1-P1 | April 2018 | Q1

Current topic | 10 marks total | Original PDF p2

Related: Ch 25.

- 1**
- (i) Define liquidity risk. [2]
 - (ii) Explain how liquidity risk might influence an investor's view of the relative attractiveness of the following asset classes:
 - (a) Traded Equities
 - (b) Property
 - (c) Hedge Funds
 - (d) Collectable Cars

[8]

[Total 10]

CP1-P1 | September 2019 | Q7

Current topic | 17 marks total | Original PDF p4

Related: Ch 9.

- 7** (i) Outline the main factors that influence a financial institution's long-term investment strategy. [6]

The board of a university located in a particular city are concerned about the shortage of accommodation available for students. To address this, the board has proposed the construction of a new building which will accommodate approximately 200 students. The new building will be funded by private investors, whose funds will finance the construction and ongoing maintenance of the new building.

- (ii) Outline reasons why private investors would want to invest in the new building. [3]

- (iii) Contrast how the following potential investors would evaluate this proposal:

- (a) A large defined benefit pension scheme.
(b) An individual who has recently inherited a significant sum.

[4]

An alternative proposal being considered by the board is to encourage individual investors to purchase houses in the city to rent out to university students.

- (iv) Assess how this alternative proposal addresses the accommodation shortage.

[4]

[Total 17]

CP1-P1 | September 2023 | Q5

Current topic | 13 marks total | Original PDF p3

Related: Ch 26, Ch 5.

- 5** The government in a developed country has a long-standing policy of granting all citizens born in that country, a fixed lump sum benefit on their 18th birthday. The lump sum is expected to be sufficient to meet the cost of domestic university fees over the subsequent 3 years. In order to finance the benefit, the government sets aside a pre-determined amount, on the birth of each citizen, and invests it in a fund that it manages.

- (i) Discuss the factors that will influence the fund's investment strategy. [5]

In a change of policy, the government is proposing to give the lump sum directly to each child's family at their child's birth, for the family to invest, with the aim of boosting the domestic retail savings market.

- (ii) Describe the possible risks of this new policy from the viewpoint of the children's families. [4]

- (iii) Suggest why the government may want to boost the domestic retail savings market. [4]

[Total 13]

CP1-P1 | September 2023 | Q8

Current topic | 18 marks total | Original PDF p4

Related: Ch 10, Ch 9, Ch 16.

- 8** The government of a country with large oil reserves is setting up a fund to invest the proceeds of its oil sales for the long-term future benefit of the country.

The government is looking for advice on a number of issues relating to the risk and reward profiles of various investment opportunities.

- (i) Discuss the advantages and disadvantages for the government of investing the fund in property. [4]

There is political pressure on the government to ensure that a significant proportion of the fund is invested in the country's domestic markets.

- (ii) Discuss the merits of domestic investment compared to overseas investment, with respect to achieving the long-term goal of the fund. [6]

- (iii) Describe how a benchmark could be set to monitor the performance of the fund. [4]

The mayor of the capital city of the country has proposed that the fund be used to provide finance for a new airport located near the city.

- (iv) Discuss the opportunities and risks of investment in such a project for the fund. [4]

[Total 18]